Dabur India Ltd.

Q3FY23 Result Update | FMCG

Sequential Improvement ahead

DALAL & BROACHA
STOCK BROKING PVT. LTD.

Equity Research Desk

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Q3FY23 Results were largely in line with estimates

- **Revenue**: grew by 3.4% YoY to Rs 30431.7mn (QoQ 1.8%). Volume performance on secondary sale increased by 3%, mainly due to mix of LUPs selling higher. Price increase was 6% and overall volume growth was -3%.
- **EBITDA**: de-grew by 2.8% YoY to Rs 6098.8mn (QoQ +1.5%)
- **EBITDA Margins** at 20.04% (Vs 21.33% YoY) (Vs 20.12% QoQ)
- **PAT** de-grew by 5.4% to Rs 4766.5 Mn

Expenses

- **RM to Revenue stood at** 54.49% v/s 51.66% YoY (QoQ 54.62%) mainly due to commodity inflation.
- **A&P spends to Revenue**: stood at 5.9% v/s 8.1% YoY (5.1 % QoQ). Rationalized to maintain EBIDTA margins.
- **Other expenses to Revenue**: stood 10% v/s 9.7% YoY (QoQ 10.5%)
- **Employee Cost** increased by 6.5% YoY to Rs 2908.1mn

Outlook:

- **Demand:** Dabur has been steadily increasing its market share in various segments and the demand is expected to grow as the inflation softens. Volume growth turned negative as inflation is on a rise, impacting rural where down-trading is evident even in Dabur's case.
- **Gross Margins:** Commodity inflation expected to come down increasing gross margins.
- **EBIDTA margins:** to be maintained in the range of 20-21%. Management expects two quarters of pain for the margins to go back to pre-covid levels.

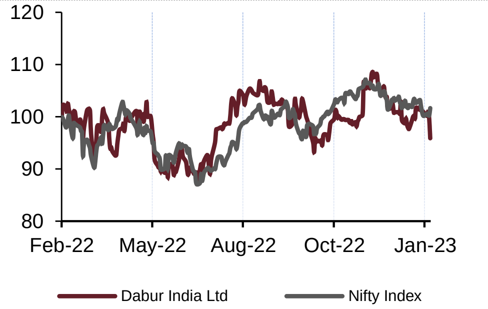
Rating	TP (Rs)	Up/Dn (%)
ACCUMULATE	598	12

Market data

Current price	**Rs**	**534**
Market Cap (Rs.Bn)	(Rs Bn)	946
Market Cap (US$ Mn)	(US$ Mn)	11,506
Face Value	Rs	1
52 Weeks High/Low	Rs	611 / 482
Average Daily Volume	('000)	1,724
BSE Code		500096
Bloomberg		DABUR.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Dec-22	Sep-22
Promoters	66.24	67.24
Public	33.76	32.76
Total	**100**	**100**

Source: BSE

Financial Summary

Y/E Mar (Rs mn)	FY21	FY22	FY23E	FY24E	FY25E
Net sales	95,617	1,08,887	1,15,785	1,27,363	1,39,452
growth (%)	*9.9*	*13.9*	*6.3*	*10.0*	*9.5*
EBIDTA Margins	20.9	20.7	20.1	20.3	20.5
Adjusted net profit	16,933	18,045	18,494	20,921	23,597
EPS (Rs)	9.6	10.2	10.4	11.8	13.3
growth (%)	10.7	6.5	2.3	13.1	12.8
P/E (x)	55.6	52.2	51.1	45.1	40.0
P/B (x)	12.3	11.2	9.9	8.8	7.8
RoCE (%)	25.5	25.4	23.4	23.7	23.8
RoE (%)	22.1	21.5	19.5	19.5	19.4
Dividend yield (%)	0.5	0.9	1.0	0.8	0.9

Source: Dalal and Broacha

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Segmental and Other Conference Call KTA's

SEGMENTAL	Q3FY23	Q3FY22	YoY (%)	Q2FY23	QoQ (%)
A. Healthcare	**8621**	**8390**	***2.8%***	**6290**	***37.1%***
Health Supplements (Chyawanprash and Dabur Honey)	5165	5144	*0.4%*	3277	*57.6%*
Digestives (Hajmola, Pudin Hara)	1248	1122	*11.2%*	1118	*11.6%*
OTC & Ethicals (Honitus, Shilajit and Ethical	2209	2124	*4.0%*	1895	*16.6%*
B. Home and Personal Care	**9860**	**9650**	***2.2%***	**10650**	***-7.4%***
Hair Care (Shampoo + Hair Oils)	3764	3818	*-1.4%*	4099	*-8.2%*
Oral Care	3645	3553	*2.6%*	4083	*-10.7%*
Skin Care	964	1022	*-5.6%*	756	*27.5%*
Home Care	1486	1257	*18.2%*	1712	*-13.2%*
C. Foods & Beverages	**3190**	**3000**	***6.3%***	**4310**	***-26.0%***
D. International	**7383.79**	**7383.79**	***0.0%***	**7496.09**	***-1.5%***
E. Others	**1291.60**	**993.54**	***30.0%***	**1118.81**	***15.4%***

HEALTHCARE:

- Overall business grew by 2.8% on the back of strong digestive business, supported by growing OTC & Ethical business.
- Digestive business posted strong growth of around 11% due to strong branding of Hajmola which launched two new variants, LimCola & ChatCola.
- Market Share for Chyawanprash and Honey categories saw steady increase.
- Market share for digestive powders has increased by 2%.
- The gross margins for Health Care came in line with the target, pre-covid.

HOME and PERSONAL CARE

- HPC reported a growth of 2.2% despite a volume decline in hair oil & Toothpaste.
- Hair Oils and Skin salon saw a degrowth due to inflation and delayed winter.
- No. 2 player in Oral care, replacing Unilever and steadily increasing market share.
- Market for toothpowder segment was stagnant, however dabur experienced a CAGR of 5%.
- Toothpaste market share in value terms is about 15.8% and in volume term 17%.
- However there was a marginal increase of 60bps in the market share of bleach creams
- Good traction is seen for lotions under skincare.
- Home care saw the greatest increase of 18% due to robust demand and growth for Odonil, odomos and Sanifresh.
- There was an increase in the market share of Odonil of 5.4% and 4.1% in aerosols.
- Odomos market share increased by 2.2%.

FOODS and BEVERAGES

- Growth of F&B business was at 6.4% at 3190 mn.
- Beverage @ about 2850 mn & Food @ 350 mn
- Beverages grew @ 3.7% and Foods @ 34.5%.
- The growth was subdued due to inflation which is expected to continue in the food and beverage basket whose prices are increasing.
- Drink segment did about 200 cr & J&N segment also gaining share of 250 bps.
- Small cheaper players entering beverage segment posing some challenge.

INTERNATIONAL

- International Business grew by 14% in CC terms (5.1% in INR terms)
- A positive growth sequentially due to devaluation of INR against USD.

Other KTA's

- Growth in chyawanprash was impacted @ -5% YoY due to high base and delay in winter season, however demand has picked up in the month of January and expects to cover up the lag.
- E-Commerce contributed 9% of the business doing well on account of New Product Launches.
- Hired a top level executive, Mr. Phillipe Haydon, Ex-CEO of Himalaya Brand. He will be looking after Healthcare portfolio.
- Steady growth observed in Dabur red and Meswak, however Babool was impacted due to lower consumption in rural markets.
- Contribution of Low unit price packs was at 25% which is growing in the range of 20-25% and expected to increase gradually.
- More LUPs selling leading to margin dilution.
- Rural market was dragging, customers are seen down-trading and extremely price sensitive. However people are increasingly using soaps and toothpastes which shows some opportunity for the company.
- Growth is expected in rural markets going forward due to various subsidies provided by the government. And since, harvesting and farming was good for the year, more money in the hands of people will lead to greater consumption of premium products which benefits Dabur.
- Badshah Business will be consolidated from Q4 onwards.
- Compared to pre-covid margins, current margins are just 60-70 bps away which will improve as inflation softens.
- Under F&B business, food contributed about 35 cr for Q3 which is expected to exit for the year at 160 cr.
- Guidance is to achieve about 500 cr in the next 3-4 years, clocking a growth of about 30-40%.

- Dabur augmenting capacity at its beverages plants and if unable to scale up can easily outsource.
- Upside of margin seen going forward due to balancing of price increase in cost taken by the company.
- Guidance of maintaining operating margin of 20%.

Quarterly Performance Analysis

Exhibit 1

Particulars	Q3FY23	Q3FY22	YoY (%)	Q2FY23	QoQ (%)
Revenue from Operations	30431.7	29417.5	3.4%	29864.9	1.9%
Other Income	1008.4	967.4	4.2%	1232.8	-18.2%
Total	**31440.1**	**30384.9**	3.5%	**31097.7**	**1.1%**
COGS	**16581.6**	**15195.8**	9.1%	**16313.7**	1.6%
% of sales	54.49%	51.66%		54.62%	
Employee Benefit Expense	2908.1	2730.2	6.5%	2875.6	1.1%
% of sales	9.56%	9.28%		9.63%	
Other Expenses	3046.8	2845.8	7.1%	3150.2	-3.3%
% of sales	10.01%	9.67%		10.55%	
Advertisement and Promotional Expense	1796.4	2370.7	-24.2%	1518	18.3%
% of sales	5.90%	8.06%		5.08%	
EBITDA excluding other income	**6098.8**	**6275**	**-2.8%**	**6007.4**	**1.5%**
EBIDTA MARGINS	**20.04%**	**21.33%**		**20.12%**	
EBITDA including other income	**7107.2**	**7242.4**	-1.9%	**7240.2**	-1.8%
Depreciation	708.9	632.0	12.2%	704.7	0.6%
EBIT	**6398.3**	**6610.4**	-3.2%	**6535.5**	-2.1%
Finance costs	189.1	110.8	70.7%	150.6	25.6%
PBT Ex of JV and Exceptional items	**6209.2**	**6499.6**	-4.5%	**6384.9**	-2.8%
profit/loss from JV	-7.6	-1.1	590.9%	-3.4	123.5%
exceptional items	0	0		0	
PBT	**6201.6**	**6498.5**	**-4.6%**	**6381.5**	**-2.8%**
Tax Expense	**1435.1**	**1455**	-1.4%	**1472.9**	-2.6%
Tax Rate	23.1%	22.4%		23.1%	0.3%
PAT	**4766.50**	**5043.50**	-5.5%	**4908.60**	-2.9%
NPM	15.2%	16.6%		15.8%	
Minority Interest	7.10	10.30	-31.1%	8.00	-11.3%
NPAT	**4759.40**	**5033.20**	-5.4%	**4900.60**	-2.9%
NPM	15.1%	16.6%		15.8%	-3.9%
Adjusted PAT	**4759.40**	**5033.20**	**-5.4%**	**4900.60**	**-2.9%**
Equity	1771.8	1767.4		1771.8	
Face Value	1	1		1	
Number of Shares	1771.8	1767.9		1771.8	
Basic EPS Calculated	**2.69**	**2.85**		**2.77**	

Source: Dalal & Broacha Research, Company

Valuation

Overall environment remains cautious with inflation coming down on one side and rural down-trading on the other. On the overall basis rural contributes ~45% of the revenues.

Rural growth was lower as compared to urban.

The management is confident on maintaining operating margins in the range of 20-21% despite commodity headwinds and unfavorable product mix on account of higher sale of LUPs.

Going forward we expect Dabur to clock CAGR of 10/11%/13% for Revenue/EBITDA/PAT.

We also believe acquisition of Badshah Masala is a good move towards diversification in to a very high growth category.

We have revised our estimates post Q3FY23 and roll over to FY25E.

At Rs 533, company trades 51x FY23E EPS of Rs 10 and 45x FY24E EPS of Rs 11.8 and 40x FY25E EPS of 13.3. **We maintain our rating of ACCUMULATE for Long Term with a target price of Rs 598. (45x FY25EEPS).**

Financial

P&L (Rs mn)	FY21	FY22	FY23E	FY24E	FY25E
Net Sales	95,617	1,08,887	1,15,785	1,27,363	1,39,452
Cost of sales	75,590	86,349	92,559	1,01,531	1,10,846
Operating Profit	**20,027**	**22,538**	**23,226**	**25,832**	**28,606**
Depreciation	2,401	2,529	2,829	3,095	3,294
PBIT	17,626	20,009	20,396	22,737	25,312
Other income	3,253	3,932	4,297	5,235	6,126
Interest	308	386	612	734	720
Profit before tax	20,570	23,555	24,081	27,238	30,719
Exceptional items	-	850	-	-	-
share of profit/loss in JV	(10)	(18)	(20)	(22)	(24)
PBT (Post Extra Ordinary)	20,560	22,687	24,061	27,217	30,695
Provision for tax	3,611	5,264	5,534	6,260	7,060
Reported PAT	**16,950**	**17,423**	**18,527**	**20,957**	**23,635**
MI	17	31	33	36	38
Adjusted PAT	**16,933**	**18,045**	**18,494**	**20,921**	**23,597**

Balance Sheet	FY21	FY22	FY23E	FY24E	FY25E
Equity capital	1,767	1,768	1,772	1,772	1,772
Reserves	74,868	82,045	93,141	1,05,694	1,19,852
Net worth	**76,635**	**83,813**	**94,913**	**1,07,466**	**1,21,624**
Minority Interest	**367**	**406**	**439**	**475**	**513**
Non Current Liabilites	2,127	5,401	5,068	4,889	4,711
Current Liabilites	29,342	33,225	35,038	36,403	38,914
CAPITAL EMPLOYED	**1,08,471**	**1,22,845**	**1,35,457**	**1,49,233**	**1,65,762**
Non Current Assets	60,712	79,677	82,444	83,419	83,200
Fixed Assets	20,037	21,752	23,133	24,038	23,744
Non Current Investments	34,136	53,651	55,049	55,049	55,049
Non Current tax assets	222	52	50	50	50
Long Term Loans and Adv	225	-	-	-	-
Other NON Current Assets	2,226	1,221	1,219	1,288	1,363
Goodwill	3,360	2,512	2,509	2,509	2,509
Investment property	505	491	485	485	485
Current Assets	47,759	43,168	53,013	65,813	82,562
Current investments	7,460	8,546	5,117	5,117	5,117
Inventories	17,343	19,114	21,079	23,276	25,555
Trade Receivables	5,616	6,462	7,126	7,869	8,639
Cash and Bank Balances	13,290	5,701	15,687	25,174	38,464
Short Term Loans and Adv	145	-	-	-	-
Other Current Assets	3,906	3,346	4,005	4,378	4,788
CAPITAL DEPLOYED	**1,08,471**	**1,22,845**	**1,35,457**	**1,49,233**	**1,65,762**

Source: Dalal & Broacha Research

Cash Flow St. (Rs. mn)	FY21	FY22	FY23E	FY24E	FY25E
Net Profit	16,950	17,423	18,527	20,957	23,635
Add: Depreciation	2,401	2,529	2,829	3,095	3,294
Minority Interest	(17)	(31)	(33)	(36)	(38)
Cash profits	**19,334**	**19,921**	**21,323**	**24,016**	**26,891**
(Inc)/Dec in					
-Sundry debtors	2,523	(846)	(664)	(743)	(770)
-Inventories	(3,547)	(1,771)	(1,965)	(2,197)	(2,279)
-Loans/advances	8	369	-	-	-
CL & provisons	3,967	1,264	1,380	1,387	2,533
'- Other Assets	4,765	1,736	(654)	(444)	(484)
Change in working capital	7,716	753	(1,904)	(1,996)	(1,000)
CF from Oper. activities	**27,050**	**20,674**	**19,420**	**22,019**	**25,891**
CF from Inv. activities	**(15,905)**	**(23,981)**	**(2,172)**	**(4,000)**	**(3,000)**
CF from Fin. activities	**(5,969)**	**(4,282)**	**(7,262)**	**(8,532)**	**(9,601)**
Cash generated/(utilised)	**5,177**	**(7,589)**	**9,986**	**9,487**	**13,290**
Cash at start of the year	8,114	13,290	5,701	15,687	25,174
Cash at end of the year	13,290	5,701	15,687	25,174	38,464
	13,290	5,701	15,687	25,174	38,464

Ratios	FY21	FY22	FY23E	FY24E	FY25E
OPM	21	21	20	20	21
NPM	17	16	15	16	16
Tax rate	18	22	23	23	23
Growth Ratios (%)					
Net Sales	10	14	6	10	9
Operating Profit	12	13	3	11	11
PBIT before other income	12	14	2	11	11
PAT	11	7	2	13	13
Per Share (Rs.)					
Net Earnings (EPS)	10	10.2	10.4	11.8	13.3
Cash Earnings (CPS)	8	9	9	10	11
Dividend	3	5	6	4	5
Book Value	43	47	54	61	69
Free Cash Flow	9	6	6	7	9
Valuation Ratios					
P/E(x)	**56**	**52**	**51**	**45**	**40**
P/B(x)	12	11	10	9	8
EV/EBIDTA(x)	47	42	40	36	32
Div. Yield(%)	1	1	1	1	1
FCF Yield(%)	**2**	**1**	**1**	**1**	**2**
Return Ratios (%)					
ROE	22%	22%	19%	19%	19%
ROCE	26%	25%	23%	24%	24%

Source: Dalal & Broacha Research, Company

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